

SEBI INVESTOR CAUTION NOTICE

Recognizing and Preventing Investment Fraud and Cyber Financial Crimes

1. Beware of Unrealistic & Guaranteed Returns:

Legitimate market investments carry risk and fluctuate with economic conditions. Any scheme, individual, or entity offering 'guaranteed returns', 'risk-free 20-50% monthly profit', or 'assured doubling of capital' is fraudulent. SEBI has never permitted guaranteed return equity schemes.

2. Social Media & Messaging App Scams:

Fraudsters create fake WhatsApp and Telegram groups impersonating institutional investors, Foreign Institutional Investors (FIIs), SEBI officials, or prominent market analysts. They share forged institutional trading accounts, fake trading terminals (apk apps), and deceptive profit screenshots to lure victims into depositing money in personal bank accounts or mule accounts.

3. Pump and Dump Schemes:

Unregistered entities use SMS, WhatsApp channels, and social media influencers to aggressively recommend low-liquidity penny stocks with fake positive news. Once retail investors buy and drive up the price, the fraudsters dump their holdings at inflated prices, leaving retail investors with illiquid, worthless shares.

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Protecting Yourself from Financial Scams & Reporting Mechanisms

4. Verification of Registered Intermediaries:

Always verify that any broker, research analyst (RA), or investment adviser (IA) is registered with SEBI. Check the official SEBI directory at <https://www.sebi.gov.in> before transferring any money. Never make payments to individual or personal bank accounts for stock trading.

5. Cyber Crime Reporting:

If you have fallen victim to an online financial fraud or unauthorized transaction:

- Golden Hour Action: Report within the first two hours to minimize financial loss.
- Call the National Cyber Crime Helpline Number: 1930.
- Register an official police complaint online at the National Cyber Crime Reporting Portal: <https://cybercrime.gov.in>.
- Contact your bank immediately to freeze the beneficiary account and your compromised accounts.

6. SEBI Investor Helpline:

For queries and regulatory complaints:

- SEBI Toll-Free Helpline: 1800-266-7575 or 1800-22-7575 (9:00 AM to 6:00 PM, Monday to Friday).
- Email: sebi@sebi.gov.in
- SEBI SCORES Portal: <https://scores.sebi.gov.in>